

8-1b Notes Receivable

Notes receivable are amounts that customers owe for which a formal, written instrument of credit has been issued. If notes receivable are expected to be collected within a year, they are classified on the balance sheet as a current asset.

Notes are often used for credit periods of more than 60 days. For example, an automobile dealer may require a down payment at the time of sale and accept a note or a series of notes for the remainder. Such notes usually provide for monthly payments.

Notes may also be used to settle a customer's account receivable. Notes and accounts receivable that result from sales transactions are sometimes called *trade receivables*. In this chapter, all notes and accounts receivable are from sales transactions.